



LEGAL & CORPORATE ADVISORY PRACTICE

Legal & Compliance FAQs

EXECUTIVE PRACTICE MANDATES & ADVISORY FOCUS

"Clear answers to critical corporate legal questions: MCA late filing penalties, Private Limited vs LLP conversion, director liabilities, and trademark protection timelines."

CORE PRACTICE AREAS INCLUDED IN THIS BROCHURE

■ Entity Selection & Founding FAQs

Choosing the appropriate legal structure for your enterprise.

■ MCA Compliance & Late Filing Penalties

Understanding the financial and legal consequences of delayed filings.

■ Trademark, Copyright & Brand Protection

Navigating brand registrations, objections, and timelines.

■ Commercial Contracts & Standing Retainership

Protecting commercial interests and working with Jyot Enterprise.

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LEGAL & CORPORATE ADVISORY PRACTICE

01 - Entity Selection & Founding FAQs

Choosing the appropriate legal structure for your enterprise.

Q: What is the difference between a Private Limited Company and an LLP?

A: A Private Limited Company has equity shares, can raise venture capital, and is governed by strict board and statutory audit requirements. An LLP is ideal for professional and service firms requiring limited liability without burdensome meeting and audit requirements (until turnover exceeds Rs. 40 Lakhs).

Q: How long does it take to incorporate a Private Limited Company?

A: With all director KYC and registered office documents verified, incorporation via SPICe+ typically takes 5 to 8 working days from MCA submission.

Q: Can a foreign national or NRI be a director in an Indian company?

A: Yes. At least one director must be a resident of India (present for at least 182 days). Foreign nationals must have notarized and apostilled passport copies.

Q: Can an existing Partnership firm or LLP convert into a Private Limited Company?

A: Yes. Under Chapter XXI of the Companies Act 2013, an existing partnership or LLP can convert into a Private Limited company while preserving existing contracts, licenses, and operational track record.

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02 - MCA Compliance & Late Filing Penalties

Understanding the financial and legal consequences of delayed filings.

Q: What are the penalties for delayed MCA filings (AOC-4 / MGT-7)?

A: Under Section 403 of the Companies Act, delayed filing of financial statements or annual returns attracts a severe daily additional fee of Rs. 100 per day per form with no upper ceiling.

Q: What happens if DIR-3 KYC is not filed before the deadline?

A: If a director fails to file DIR-3 KYC by 30th September, their Director Identification Number (DIN) is deactivated with status 'Deactivated due to non-filing of DIR-3 KYC', attracting a mandatory Rs. 5,000 penalty to reactivate.

Q: What is Form INC-20A and what happens if it is missed?

A: Form INC-20A declares that subscribers have deposited their equity capital. Failing to file within 180 days from incorporation attracts a penalty of Rs. 50,000 on the company and Rs. 1,000 per day on directors, risking company strike-off.

Q: Can a dormant or inactive company simply be abandoned?

A: No. Abandoning an entity without formal strike-off (Form STK-2) or obtaining Dormant status leads to director disqualification for 5 years and severe accumulated penalties.

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03 - Trademark, Copyright & Brand Protection

Navigating brand registrations, objections, and timelines.

Q: How long does it take to obtain a registered trademark (R symbol)?

A: From filing Form TM-A, examination occurs within 1 to 3 months. If no objections or oppositions arise, the registration certificate is typically granted in 6 to 12 months. You may use the TM symbol immediately upon filing.

Q: What happens if a trademark receives an examination objection under Section 9 or 11?

A: Section 9 objections allege lack of distinctiveness; Section 11 alleges similarity to an existing mark. A formal legal reply must be filed within 30 days citing judicial precedents and evidence of continuous prior commercial use.

Q: How long is a trademark valid in India?

A: A registered trademark is valid for 10 years from the application date and can be renewed indefinitely every 10 years by filing Form TM-R.

Q: Who owns the intellectual property created by our software developers or contractors?

A: By default under Indian law, independent contractors own the copyright unless an explicit written agreement contains an unequivocal Intellectual Property Assignment clause. Jyot Enterprise drafts ironclad IP assignments.

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04 - Commercial Contracts & Standing Retainership

Protecting commercial interests and working with Jyot Enterprise.

Q: What key clauses must every Master Service Agreement (MSA) contain?

A: Every robust MSA must include explicit scope definitions, milestone acceptance criteria, limitation of liability, IP ownership transfer upon full payment, non-solicitation, governing law, and dispute arbitration clauses.

Q: What legal recourse exists for unpaid commercial invoices?

A: Recourse includes issuing formal legal demand notices, filing under the MSME Samadhaan portal for delayed payments with statutory compound interest, Section 138 NI Act notices for bounced cheques, and IBC Section 8 notices.

Q: What does the Jyot Corporate Retainership include?

A: Our retainership includes standing Company Secretary oversight, all mandatory annual MCA filings, board resolutions, routine contract reviews, compliance alerts, and direct legal helpline access.

Q: Direct Advisory Helpline:

A: Phone: +91 95374 30101 * +91 77780 08999 * Email: jyotenterpriseofficial@gmail.com